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Standard Chartered Bank: FY21 Earnings Note

SCBK FY'21 net earnings edged up **66.23%** to **KES 9.04Bn** which was above our expectation of KES 7.29Bn, while the **EPS** also grew by **62.76%** to **KES 23.49.** The impressive numbers in the bottom line were mainly powered by growth in operating income (+6.41% y/y to **KES 29.16Bn**) and a decline in Total Operating Expenses (-17.21% y/y to **KES 16.57Bn**). Balance sheet expansion remained muted with the loan book (+3.66% y/y to **KES 125.97Bn**) growing faster than customer deposits (+3.50% y/y to **KES 265.47Bn**).

- **Digitization continues to pay off:** Cost to income ratio improving 1621bps to 56.80%, underpinned the bank's push for digital transaction channels. The improvement was driven by a faster decline in operating expenses (-17.21% y/y to **KES 16.57Bn**) with staff costs declining 18.30% y/y. Additionally, the loan loss provision declined 46.38% y/y to **KES 2.08Bn** highlighting the expectations of an improving lending environment. We expect Opex to continue declining in coming periods as 96.00% of the banks transactions are currently happening outside the branch, driven by the corporate segment.

- **Non-Interest and Interest Income on divergent paths:** Non-Interest income grew above our expectations by 24.91% to **KES 10.35Bn,** driven mainly by income from financial markets, custodial and wealth management businesses (+21% y/y to **KES 3.16Bn**). Yields from assets were down to 7.57% owing to Interest income declining 6.11% y/y to **KES 22.28Bn** as both interest from government securities and from Loans declined by 4.34% and 4.17%, respectively. Interest expenses declined 24.74% to **KES 3.48Bn** leading to the cost of funds also declining to 1.33% as the bank continued sourcing for cheaper deposits. Net Interest margins (NIMS) also declined marginally to 6.39%. Therefore, the revenue mix shifted to **64:36** for NII:NFI from **70:30** in FY'20 highlighting reduced reliance on lending income.

- **Asset quality concerns persist:** The NPL ratio improved marginally to **15.99%** from **16.01%** in FY'21, which is above the current industry average of **13.10%.** Meanwhile, the NPL Coverage improved to **84.41%** from **80.59%** in FY'20 even as the Gross NPLs increased **4.23%** y/y to **KES 23.28Bn.** Higher than industry average NPLs is a source of concern with the bank increasing provisioning for the commercial loan segment. CBK's approval of the risk-based pricing model is likely to lead to an improvement in the quality of assets.

Valuation: Announcement of a total dividend of KES 19.00 triggered a share price rally with the stock closing the day at **KES 140.75**(+7.44% from the previous close of KES131.00). The counter's current metrics point to undervaluation with a current P/E of5.9x lower than the market's 10.4x and P/TB of 2.9x.

15th March 2021

Current price: KES 140.75

Target price: KES 145.19

Upside: 3.15%

52 Week High: KES 146.75

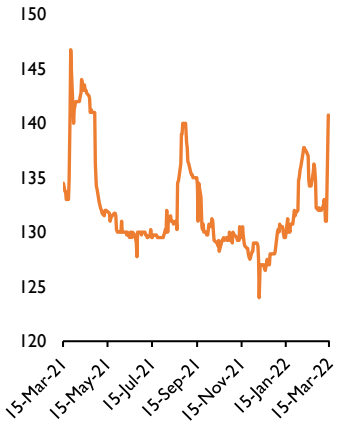
52 Week Low: KES 123.00

YTD Performance: 9.75%

EPS (FY21): KES 23.49

Final DPS (FY21): KES 19.00

SCBK 1-year Share Price Movement



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Outlook

The results were above our expectations. We take note of the improved efficiency attributable to the continued use of digital channels. However, we are concerned by the higher than industry average NPLs and slow balance sheet growth which is lower than the five-year average. We foresee future growth in the bank's earnings being driven by digital channels including offerings in custodial services, financial markets and wealth management services whose AUM grew to KES 131.00Bn. We expect the announcement of an interim dividend will make the counter attractive and is likely to cause a share price rally in the coming days.

Table 1 : Financial Statement Summary

Income Statement	FY18	FY19	FY20	Q1'21	H1'21	Q3'21	FY21
Net Interest Income	19,396.30	19,472.49	19,117.15	4,591.75	9,115.39	14,712.00	18,809.42
Net non-Interest Income	9,201.22	9,227.42	8,289.78	2,484.67	4,997.61	7,560.36	10,355.00
Total Operating income	28,597.52	28,699.91	27,406.93	7,076.42	14,113.00	22,272.37	29,164.42
Provision for Impairment	(1,930.51)	(572.59)	(3,882.16)	(413.21)	638.54	2,681.25	2,081.63
Total Operating expenses	(16,750.90)	(16,526.06)	(20,010.88)	(3,680.05)	(7,315.32)	(13,376.12)	(16,566.37)
Profit before tax	11,846.62	12,173.86	7,396.06	3,396.37	6,797.67	8,896.24	12,598.05
Profit after tax	8,099.19	8,236.77	5,440.42	2,391.05	4,879.06	6,354.71	9,043.84
Core EPS	21.49	21.85	14.43	6.34	12.94	16.86	23.99
DPS	19.00	20.00	10.50	-	-	5.00	19.00

Balance Sheet	FY18	FY19	FY20	Q1'21	H1'21	Q3'21	FY21
Government Securities	98,704.74	99,628.93	99,779.22	102,410.27	101,381.16	98,959.81	95,595.61
Loans and Advances	118,651.55	128,690.34	121,524.23	117,873.46	130,275.65	131,744.12	125,974.59
Total Assets	**285,404.02**	**302,139.06**	**325,605.07**	**339,258.22**	**345,646.34**	**330,696.79**	**334,871.94**
Customer Deposits	224,284.42	228,433.52	256,497.53	265,249.88	278,186.88	258,379.72	265,469.11
Total Liabilities	238,764.64	254,378.53	274,715.03	286,369.04	293,939.97	277,631.03	281,657.83
Shareholder's Funds	**46,639.39**	**47,760.53**	**50,890.04**	**52,889.18**	**51,706.37**	**53,065.77**	**53,214.11**

Income Statement Ratios	FY'2020	FY'2021	y/y change
Yield from assets (YIEA)	8.46%	7.57%	(0.89%)
Cost of funding	1.87%	1.33%	(0.54%)
NPL Ratio	16.01%	15.99%	(0.02%)
Net Interest Margin	6.82%	6.39%	(0.43%)
Cost to Income Ratio	73.01%	56.80%	(16.21%)
Loan to deposit ratio	47.38%	47.45%	0.08%
Return on Average Equity	11.03%	17.37%	6.34%
Return on Average Assets	1.73%	2.74%	1.01%

Source: Company filings, AIB-AXYS



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